The digital revolution brings back customization as a key differentiator of products and services for every individual.

Customization requires personal data: for example, the precise measure of all dimensions of the foot for making the best fitting shoes for each individual; individual preferences for delivering the products desired; even producing a car that meets the specific needs of an individual or family. The digital economy works, thrives and prospers by using personal data.

However, personal data can be misused to target or manipulate a person or a group with similar attributes. Personal data on identity, health and other information of a sensitive nature can be hacked or misused to cause financial and other harm to the person concerned. It is absolutely necessary that such misuse, manipulation and harm be prevented.

The absolute indispensability of personal data for digitalization of the economy and the uncompromisable state obligation of preventing the misuse of this data represent the most intricate conflict in the march of the digital economy. How a nation or society arrives at a solution that achieves a balance between both objectives will determine its success or failure in reaping the advantages of digitalization of the economy.

Data Legislation and Regulation in India

Unfortunately, the value and critical advantage of data for digitalization of the economy did not get much appreciation in India. Instead, protection of personal data got all the policy attention, specifically after 2016.

Protection of sensitive personal data (SPD) was sought to be ensured by the Information Technology (Reasonable Security Practices and Procedures and Sensitive Personal Data or Information) Rules 2011 framed under the IT Act, 2000. These rules defined personal data and set out the obligations of body corporates in the collection, use and transfer of such data. There were no serious restrictions on the use of personal data by body corporates in the SPD Rules.